

are as yet *below* their corresponding levels). One can only imagine the feeling that will accompany a further 10%-30% rise to the resistance trendlines shown in Chapters 2, 5 and 8. When performance outstrips feeling, as it did when the Dow rose 100% from 1982 through 1985 while worry prevailed, it is early in a bull market. When feeling outstrips performance, it is late. The difference is due entirely to a change in people's *emotional state of mind*. That state of mind can be so powerful that among those who have not learned to recognize it, its command is total. To maintain control, this emotion requires the sacrifice of reason by a process called rationalization. Rationalization is the visa that allows emotionally based ideas to pass through the cerebral cortex unaccosted. Smart people are very good at it, and employ it continually, particularly if they have little market experience. The process must take place primarily at the unconscious level because the instant that the feeling of euphoria (or dread) is recognized by the conscious mind as an emotional impulse and is examined and dealt with, it utterly loses its power. Indeed, the reason that fewer than 1% of traders are consistently profitable is that consciously recognizing and overcoming unconscious forces is such a rare mental feat.

An interview in *USA Today* with a professor who wrote a bullish book on stocks in 1994 uses both the terms "[new] era" and "this time it's different," classic signs of rationalization. As usual with academics and economists, the entire argument is based upon extrapolating a past trend indefinitely into the future. Stocks have outperformed T-bonds in all 20-year periods since 1871 and have recovered quickly from bear markets, so they always will. The fact that this argument has become widely articulated only in the past four years demonstrates that it is psychologically based, although its proponents do not realize that fact. There have been a dozen books on the same theme published within the past three years. Heeding them will not only bring devastating losses, but perhaps worse, it will keep those following such advice from being able to take advantage of the golden opportunity to buy stocks cheap when they hit bottom. While these books today are an invitation to financial destruction and should not be read, a dozen years from now they will be deeply informative of the psychological climate that existed at the top.

As market history unfailingly attests, when the public is broadly in for the long haul, the market is a time bomb. Nevertheless, today, commentators appear continually on financial television explaining calmly that the public's new found devotion to stocks is